# Practice workbook · Sources of finance and why businesses need finance

Short- and long-term finance needs; internal and external sources (savings, retained profit, selling assets, overdraft, trade credit, loans, share capital, venture capital, crowdfunding): classification, features, advantages, drawbacks and choice.

47 question parts: 1 worked-example retry and 46 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S3-03

# 1. Question 2 · part e · 3 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part e only.

**2** (a) State **one** external factor that could cause a change in demand for *NOF* products.

(1)

(b) State **one** reason *NOF* might use other retailers to sell its products.

(1)

(c) Explain **one** benefit to a business of using secondary market research.

(3)

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# 1. Question 2 · part e · 3 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part e only.

(d) Explain **one** limitation of a cash flow forecast when making business decisions.

**(3)**

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(e) Explain **one** benefit to a business of using crowdfunding as a source of finance.

**(3)**

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# 1. Question 2 · part e · 3 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part e only.

*NOF* has recently harvested its corn crop. It intends to turn the corn into popcorn called '*NOF* pop' to sell in the farm shop and through local retailers.

*NOF* is considering two options to introduce the product into the market:

**Option 1:** offering a low introductory price for three months

**Option 2:** selling at the same price as competitors.

(f) Justify which **one** of these two options *NOF* should choose.

**(9)**

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# 1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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## 2. Question 1 · part b · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

**1** (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

*Yellow*'s store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

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## 2. Question 1 · part b · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Six months later, *Yellow* placed a repeat order for the same number of T-shirts at the same price. The exchange rate now is 1 Rupee = 0.042 AED.

(iv) What would be an effect on *Yellow* of the change in the exchange rate?

(1)

- ☒ **A** Lower profit
- ☒ **B** Higher variable costs
- ☒ **C** Cash flow deteriorates
- ☒ **D** Could charge lower prices

(v) Which **one** of the following is a long-term source of finance?

(1)

- ☒ **A** Sales revenue
- ☒ **B** Reinvested profit
- ☒ **C** Trade credit
- ☒ **D** Bank overdraft

**Figure 1** shows financial information in Rupees for 2015 to 2016.

| Year ending | 2016 | 2015 |
|---|---|---|
| Revenue | 13 399 000 | 12 880 000 |

**Figure 1**

(vi) What is the percentage increase in revenue from 2015 to 2016?

(1)

- ☒ **A** 4.03%
- ☒ **B** 5.19%
- ☒ **C** 6.44%
- ☒ **D** 8.69%

(b) Define the term **crowdfunding**.

(1)

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## 2. Question 1 · part b · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Define the term **branding.**

(1)

(d) State **one** diseconomy of scale that could affect *Yellow*.

(1)

*Yellow* could use the cost plus method of pricing for the clothes it sells.

(e) Calculate the selling price of a T-shirt that costs *Yellow* 252 (AED) if the mark-up was 17%. You are advised to show your working.

(2)

AED

(f) Explain **one** advantage for a business of having loyal customers.

(3)

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*Turn over* ▶

## 2. Question 1 · part b · 1 mark · Working and answer

Working and answer

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## 3. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a.iv only.

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**1** In 1985 *Emirates* started its airline business with just two aircraft. It is now a well-known airline with over 265 aircraft flying to over 180 destinations around the world.

*Emirates* has won many awards for service and reliability. Until 2016 passengers rated *Emirates* the leading airline to travel with. However, in 2017 its rating dropped from first to fourth.

(a) (i) Which **one** of the following only applies to a public limited company?

**(1)**

Select **one** answer.

- ☒ **A** Controlled by the government
- ☒ **B** Shares are traded on the stock exchange
- ☒ **C** A maximum of 50 shareholders
- ☒ **D** Restriction in the transfer of shares

(ii) Which **one** of the following departments would send an invoice to a supplier?

**(1)**

Select **one** answer.

- ☒ **A** Human resources
- ☒ **B** Marketing
- ☒ **C** Finance
- ☒ **D** Production

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# 3. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a.iv only.

**Figure 1** shows the annual total revenue of £1 200 000 for five businesses.

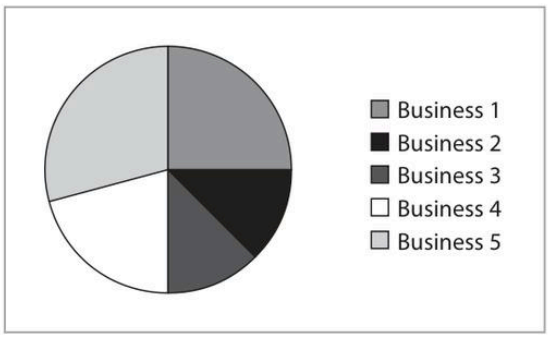



**Figure 1**

| | |
|---|---|
| **Business 1** | **£300 000** |
| **Business 2** | **£150 000** |
| **Business 3** | **£150 000** |
| **Business 4** | **£250 000** |
| **Business 5** | **£350 000** |

(iii) What is the market share for Business 2?

(1)

Select **one** answer.

☒ **A** 12.5%

☒ **B** 20.8%

☒ **C** 25.0%

☒ **D** 29.2%

(iv) Which **one** of the following describes an overdraft?

(1)

Select **one** answer.

☒ **A** A method of borrowing regular amounts

☒ **B** More funds taken out than are in the account

☒ **C** Money lent by many people to a business

☒ **D** A loan due for repayment in five years

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## 3. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a.iv only.

**Figure 2** Extract from *Emirates* financial reports, 2015–2017

| | 2016–2017 Dirham millions (AED) | 2015–2016 Dirham millions (AED) |
|---|---|---|
| Total assets | 133 281 | 129 989 |
| Cash assets | 19 066 | 23 453 |

**Figure 2**

(v) What is the percentage change in total assets between 2015–2016 and 2016–2017? (1)

Select **one** answer.

- ☒ **A** –18.70%
- ☒ **B** –2.53%
- ☒ **C** 2.47%
- ☒ **D** 2.53%

(vi) Which **one** of the following would be part of recruiting a new employee? (1)

Select **one** answer.

- ☒ **A** Business plan
- ☒ **B** Induction training
- ☒ **C** Job description
- ☒ **D** Job enrichment

(b) Define the term **social enterprise**. (1)

(c) Define the term **globalisation**. (1)

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## 3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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# 4. Question 1 · part c · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part c only.

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**1** (a) (i) Which **one** of the following sectors would a retail outlet operate in?

**(1)**

Select **one** answer.

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quarternary

(ii) Which **one** of the following would be used to select a group of applicants for interview?

**(1)**

Select **one** answer.

- ☒ **A** Training
- ☒ **B** Shortlisting
- ☒ **C** Marketing
- ☒ **D** Advertising

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# 4. Question 1 · part c · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part c only.

*NEXT* purchased 5,000 dresses from a Turkish manufacturer at 101.10 New Turkish Lira (TRY) per dress.

The exchange rate is £1.00 (GBP) = 6.74 (TRY)

(iii) Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses?

(1)

Select **one** answer.

- ☒ **A** 5 101
- ☒ **B** 5 674
- ☒ **C** 33 700
- ☒ **D** 75 000

(iv) Which **one** of the following describes Kaizen?

(1)

Select **one** answer.

- ☒ **A** Skilled manufacturing
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientated
- ☒ **D** Continuous improvement

**Figure 1** shows the number of online customers using *NEXT* in 2017–2018.

| | 2017 Millions | 2018 Millions |
|---|---|---|
| Online customers | 4.7 | 4.9 |

**Figure 1**

(v) What is the percentage increase, to two decimal places, of online customers from 2017 to 2018?

(1)

Select **one** answer.

- ☒ **A** 2.00%
- ☒ **B** 4.08%
- ☒ **C** 4.26%
- ☒ **D** 4.70%

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# 4. Question 1 · part c · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part c only.

(vi) Which **one** of the following is a benefit of buying a franchise?

(1)

Select **one** answer.

- ☒ **A** The franchisor provides training to the franchisee
- ☒ **B** A franchisee pays a lower rate of Value Added Tax (VAT)
- ☒ **C** The franchisor pays the franchisee to set up in business
- ☒ **D** A franchisee makes all his/her own decisions

(b) Define the term **delegation**.

(1)

(c) Define the term **venture capital**.

(1)

(d) State **one** reason why *NEXT* might use cost plus pricing.

(1)

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## 4. Question 1 · part c · 1 mark · Working and answer

Working and answer

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## 5. Question 1 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

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**1** (a) (i) Which **one** of the following is an advantage of primary market research?

**(1)**

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

**(1)**

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

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# 5. Question 1 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

**Figure 1** shows selected financial information for a pottery business.

| | |
|---|---|
| Number of ceramic bowls sold per day | 200 |
| Price per bowl | £12.00 |
| Variable cost per bowl | £3.00 |
| Fixed costs per day | £600 |

**Figure 1**

(iii) Which **one** of the following is the total revenue for a day?

(1)

Select **one** answer.

☒ **A** £600

☒ **B** £1 800

☒ **C** £2 400

☒ **D** £7 200

(iv) Which **one** of the following would be a disadvantage for a partner in a partnership?

(1)

Select **one** answer.

☒ **A** Sharing the workload

☒ **B** Liability for all debts

☒ **C** Access to more capital

☒ **D** Sharing skills

*Huawei*'s brand value for 2018 was $7.6 billion. *Huawei* plans to increase its brand value by 14% in 2019.

(v) What would be the brand value in 2019?

(1)

Select **one** answer.

☒ **A** $6.20 billion

☒ **B** $7.74 billion

☒ **C** $8.66 billion

☒ **D** $10.64 billion

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## 5. Question 1 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

(vi) Which **one** of the following is a source of long-term finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Sales revenue
- ☒ **C** Trade credit
- ☒ **D** Bank loan

(b) Define the term **sole trader**.

(1)

(c) Define the term **demographics**.

(1)

(d) State **one** reason why *Huawei* may use share capital as a source of finance.

(1)

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## 5. Question 1 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

**Figure 2** is part of the statement of comprehensive income for *Huawei* in 2018.

| | (CNY) million |
|---|---|
| Revenue | 721 202 |
| Operating profit | 73 287 |

**Figure 2**

(e) Calculate, to two decimal places, the operating profit margin for *Huawei*. You are advised to show your working.

**(2)**

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(f) Explain **one** advantage for a business of using **sponsorship**.

**(3)**

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## 5. Question 1 · part d · 1 mark · Working and answer

Working and answer

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## 6. Question 1 · part b · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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**1** *Cadbury* was founded in 1842 when John Cadbury opened a shop in Birmingham in the UK. The shop sold cocoa and drinking chocolate. *Cadbury* is now one of the major chocolate manufacturers in the world.

In 1918 the first overseas *Cadbury* factory was opened in Hobart, Tasmania in Australia. Another factory opened in South Africa in 1938. *Cadbury* chocolates are sold across the world and other factories have been opened. *Cadbury* produces many well-known brands, such as Dairy Milk, Buttons and Crunchie. It also produces ice cream and cakes.

*Cadbury* is now part of *Mondelez*, the largest snack business in the world.

(a) (i) Which **one** of the following types of business ownership would usually be formed by a business of two solicitors?

Select **one** answer.

(1)

- ☒ **A** Sole trader
- ☒ **B** Partnership
- ☒ **C** Public Corporation
- ☒ **D** Public Limited Company

(ii) Which **one** of the following would show a business its cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** Cash inflows and outflows
- ☒ **B** Money owed to its creditors
- ☒ **C** Net cash flow
- ☒ **D** Opening and closing balances

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## 6. Question 1 · part b · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

In the UK an 850 gram *Cadbury* Dairy Milk Bar costs £9.99 (GBP).

The exchange rate is £1.00 = 20.58 ZAR (South African Rand)

(iii) Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars?

Select **one** answer.

(1)

- ☒ **A** 41.60
- ☒ **B** 205.60
- ☒ **C** 411.19
- ☒ **D** 411.60

(iv) Which **one** of the following functional areas would a skilled machinist work in?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Marketing

A *Cadbury* Crunchie Bar normally costs £0.95. It is on special offer for £0.87.

(v) What is the percentage decrease in the price of the *Cadbury* Crunchie?

Select **one** answer.

(1)

- ☒ **A** 0.92%
- ☒ **B** 1.09%
- ☒ **C** 8.00%
- ☒ **D** 8.42%

(vi) Which **one** of the following is an example of secondary market research?

Select **one** answer.

(1)

- ☒ **A** Telephone Survey
- ☒ **B** Market Report
- ☒ **C** Test Marketing
- ☒ **D** Focus Group

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## 6. Question 1 · part b · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Define the term **personal savings**.

(1)

(c) Define the term **sole trader**.

(1)

(d) State **one** reason why *Cadbury* might pay its UK employees above the minimum wage.

(1)

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## 6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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## 7. Question 1 · part a.ii · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.ii only.

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**1** *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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## 7. Question 1 · part a.ii · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.ii only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

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## 7. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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## 8. Question 3 · part a · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a only.

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**3** *IKEA* aims to retain as many of its employees as possible.

(a) Define the term **overdraft**.

**(1)**

(b) Outline **one** reason why *IKEA* would read reports issued by governments.

**(2)**

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*IKEA* is keen to reward long-serving employees. An employee who has worked with *IKEA* for 10 years is given a bonus of 7.5% on top of their annual earnings of 177 070 SEK.

(c) Calculate, to two decimal places, the bonus this employee would receive. You are advised to show your working.

**(2)**

..... SEK

## 8. Question 3 · part a · 1 mark · Working and answer

Working and answer

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## 9. Question 3 · part a · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

**3** (a) Define the term **share capital.**

**(1)**

(b) Outline how *CCT* could use quantitative research data to improve its service.

**(2)**

**Figure 2** is an extract from the statement of comprehensive income from a *CCT* competitor.

| | CYN |
|---|---|
| Revenue | 85 000 |
| Cost of sales | 13 500 |
| Gross profit | 71 500 |

**Figure 2**

(c) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

**(2)**

.....%

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## 9. Question 3 · part a · 1 mark · Working and answer

Working and answer

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## 10. Question 3 · part a · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a only.

**3** *Starbucks* continues to increase the number of coffee shops it is opening throughout the world.

(a) Define the term **crowdfunding**.

**(1)**

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(b) Outline **one** reason why the proximity of labour is important to *Starbucks*.

**(2)**

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*Starbucks* US employees are paid a salary of $21 000 a year. In Germany its employees are paid the same salary but in euros (€).

The exchange rate is $1 = €0.91

(c) Calculate the salary of a *Starbucks* employee in Germany in euros. You are advised to show your working.

**(2)**

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## 10. Question 3 · part a · 1 mark · Working and answer

Working and answer

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## 11. Question 3 · part b · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

**3** The Chairman of *Tata Motor Company* works closely with the Finance Department to ensure that the company maintains its financial position. **Figure 2** shows the revenue for *Tata Motor Company*, 2011–2017.

| Year | US$ (millions) |
|---|---|
| 2011 | 18 441 |
| 2013 | 28 508 |
| 2015 | 39 737 |
| 2017 | 42 839 |

**Figure 2**

(a) Define the term **revenue**.

(1)

(b) Outline **one** reason why *Tata Motor Company* uses overdrafts.

(2)

(c) Calculate to 2 decimal places, the percentage increase in revenue from 2011 to 2017. You are advised to show your working.

(2)

%

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## 11. Question 3 · part b · 2 marks · Working and answer

Working and answer

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## 12. Question 2 · part d · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

**2** During the preparation of food, the chefs at *Can Culleretes* have to follow health and safety regulations. New regulations are made from time to time.

(a) State **one** impact government legislation could have on *Can Culleretes*. **(1)**

(b) State **one** way *Can Culleretes* might add value to its business. **(1)**

(c) Explain **one** method a business could use to encourage repeat purchase of its products. **(3)**

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## 12. Question 2 · part d · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) Explain **one** disadvantage of using personal savings as a source of finance for a business.

**(3)**

(e) Explain **one** benefit for a business of motivating its employees.

**(3)**

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## 12. Question 2 · part d · 3 marks · Working and answer

Working and answer

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## 13. Question 2 · part c · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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**2** *Kraft Heinz* has different functional areas within the business. These functional areas work together to ensure that *Kraft Heinz* maintains high standards of production with limited waste material.

*Kraft Heinz* aims to be involved in the local area through various methods such as charity and sporting events.

(a) State **one** task that human resources would carry out at *Kraft Heinz* when recruiting an employee.

**(1)**

(b) State **one** financial objective *Kraft Heinz* might have.

**(1)**

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(c) Explain **one** reason why some businesses use crowdfunding as a source of finance.

**(3)**

## 13. Question 2 · part c · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

(d) Explain **one** disadvantage to a business of using retained profits to purchase goods and services.

(3)

(e) Explain **one** reason why the quality of goods manufactured by a business is important to its success.

(3)

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## 13. Question 2 · part c · 3 marks · Working and answer

Working and answer

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## 14. Question 2 · part d · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

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**2** *Kraft Heinz* has different functional areas within the business. These functional areas work together to ensure that *Kraft Heinz* maintains high standards of production with limited waste material.

*Kraft Heinz* aims to be involved in the local area through various methods such as charity and sporting events.

(a) State **one** task that human resources would carry out at *Kraft Heinz* when recruiting an employee.

**(1)**

(b) State **one** financial objective *Kraft Heinz* might have.

**(1)**

(c) Explain **one** reason why some businesses use crowdfunding as a source of finance.

**(3)**

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## 14. Question 2 · part d · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

(d) Explain **one** disadvantage to a business of using retained profits to purchase goods and services.

**(3)**

(e) Explain **one** reason why the quality of goods manufactured by a business is important to its success.

**(3)**

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## 14. Question 2 · part d · 3 marks · Working and answer

Working and answer

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## 15. Question 1 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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**1** *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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## 15. Question 1 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

*Café Pinch* sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

*Café Pinch* wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

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## 15. Question 1 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(b) Define the term **variable cost**.

(1)

(c) Define the term **niche marketing**.

(1)

(d) State **one** way *Café Pinch* can react to external social factors affecting its business.

(1)

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## 15. Question 1 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Customers who buy a ham Ciabatta for €7.50, a sweet waffle for €2.90 and a coffee at €3.60 would pay a total of €14.00. A lunchtime special deal offers them a 5% discount.

(e) Calculate what a customer would pay for these three items after the discount is applied. You are advised to show your working.

(2)

€ .....

(f) Explain **one** advantage to a start-up business of using a venture capitalist.

(3)

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## 15. Question 1 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) Analyse the importance to Kumaran, the owner of *Café Pinch*, of having motivated employees.

(6)

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**(Total for Question 1 = 20 marks)**

## 15. Question 1 · part f · 3 marks · Working and answer

Working and answer

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## 16. Question 2 · part e · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

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**2** (a) State **one** factor *Four Fitness* may consider when choosing a location for its new gym.

**(1)**

(b) State **one** reason why branding is important to *Four Fitness*.

**(1)**

(c) Explain **one** advantage to a business of using total quality management.

**(3)**

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## 16. Question 2 · part e · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

(d) Explain **one** problem a business might face as a result of ineffective communication.

**(3)**

(e) Explain **one** disadvantage to a small business of borrowing money from a bank.

**(3)**

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## 16. Question 2 · part e · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

*Four Fitness* is looking to introduce a new service to increase its market share. It is considering two options:

**Option 1:** as part of its monthly subscription price, members are given a 'Technogym Electronic Key' which is inserted into the gym equipment. The key will track and store their progress. An instructor helps them to analyse their progress.

**Option 2:** introduce links to online fitness classes on its website that can be accessed from home. Customers will be charged for each fitness class downloaded.

(f) Justify which **one** of these two options *Four Fitness* should choose.

**(9)**

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## 16. Question 2 · part e · 3 marks · Working and answer

Working and answer

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## 17. Question 4 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

**4** In 2017 one of *Lavender's* outlets had current assets of 120 000 MYR and current liabilities of 90 000 MYR.

(a) Calculate to 2 significant figures the current ratio for 2017. You are advised to show your workings.

**(2)**

(b) Analyse the benefits to *Lavender* of using internal sources of finance for its expansion plans.

**(6)**

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## 17. Question 4 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

*Lavender* already uses a website to promote its products.

(c) Evaluate the benefits to *Lavender* of using other forms of technology to promote its products.

(12)

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## 17. Question 4 · part b · 6 marks · Working and answer

Working and answer

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## 18. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

**4** **Figure 2** is an extract from *NOF*'s financial information for 2020.

| | £ |
|---|---|
| Current assets | 300 000 |
| Stock | 50 000 |
| Current liabilities | 220 000 |

**Figure 2**

(a) Calculate, to 2 decimal places, the current ratio for 2020. You are advised to show your working.

**(2)**

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## 18. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

(b) Analyse the benefits to *NOF* of using personal savings to expand its product range.

**(6)**

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## 18. Question 4 · part b · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

(c) Evaluate the factors that *NOF* might consider when measuring the success of its farm shop. You should use the information provided as well as your own knowledge of business.

**(12)**

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## 18. Question 4 · part b · 6 marks · Working and answer

Working and answer

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## 19. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

**4** *Cadbury* is part of the multinational *Mondelez* business. In 2017 *Mondelez* had a gross profit of $10.3 million and a revenue of $25.9 million.

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

**(2)**

..... %

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## 19. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

When *Cadbury* was founded in 1842, there may have been times when it needed an overdraft.

(b) Analyse why *Cadbury* may have needed to take out an overdraft.

**(6)**

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## 19. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Evaluate the importance of marketing for *Cadbury* when introducing a new product. You should use the information provided as well as your own knowledge of business.

**(12)**

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## 19. Question 4 · part b · 6 marks · Working and answer

Working and answer

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## 20. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

**3** (a) Define the term **variable costs**.

**(1)**

(b) Outline **one** way *Aude Rose* could extend the product life cycle of one of its products.

**(2)**

**Figure 1** shows the retained profit for *Aude Rose*.

| | |
|---|---|
| 2021 | €16 260 |
| 2022 | €12 594 |

**Figure 1**

(c) Calculate, to two decimal places, the percentage decrease in retained profits from 2021 to 2022. You are advised to show your working.

**(2)**

..... %

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## 20. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

*Aude Rose* is considering introducing a wider range of flowers for sale.

(d) Analyse the impact on *Aude Rose* of using its retained profits for this proposed development.

**(6)**

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## 20. Question 3 · part d · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

*Aude Rose* is always looking to keep up with changes and new trends in the flower market. It is anticipating that this year there may well be many changes in the industry and it wants to do some research.

*Aude Rose* is considering two options:

**Option 1:** handing out questionnaires to customers that visit the shop

**Option 2:** using the internet to research new trends.

(e) Justify which **one** of these two options *Aude Rose* should choose.

**(9)**

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## 20. Question 3 · part d · 6 marks · Working and answer

Working and answer

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## 21. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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**4** *Jimmy Choo* has many shops around the world.

**Figure 2** shows the number of *Jimmy Choo* shops in some locations.

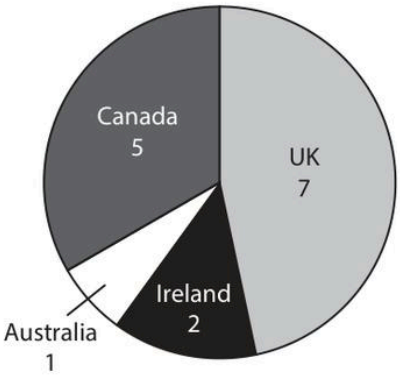



**Figure 2**

(a) Calculate, to two decimal places, the percentage of *Jimmy Choo* shops in the UK.
You are advised to show your working.

**(2)**

OLevels.COM — SCHOOL —

..... %

## 21. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Analyse the benefit to *Jimmy Choo* of using share capital to fund its growth.

(6)

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## 21. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

*Jimmy Choo* is supplied by a number of different businesses. There are some factories that *Jimmy Choo* has a large financial interest in. The majority of the manufacturing businesses are located in Italy with a few in Spain and China.

*Jimmy Choo* is considering investing in another clothing and shoe factory and will require skilled employees.

(c) Evaluate the factors *Jimmy Choo* would have to consider when making decisions on the location of a new factory. You should use the information provided as well as your own knowledge of business.

**(12)**

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## 21. Question 4 · part b · 6 marks · Working and answer

Working and answer

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## 22. Question 3 · part e · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

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**3** *Backyard Shoez* is analysing its financial position before it begins selling shoes to men and children.

(a) Define the term **profit**.

(1)

.....

.....

(b) Outline **one** impact on *Backyard Shoez* if interest rates increase.

(2)

.....

.....

.....

.....

*Backyard Shoez*'s monthly fixed costs are 100 000 Ks with a variable cost of 3 500 Ks for a pair of shoes, at a selling price of 4 300 Ks.

(c) Calculate the break-even point. You are advised to show your working.

(2)

.....Ks

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## 22. Question 3 · part e · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

(d) Analyse the benefits to *Backyard Shoez* of using break-even analysis to plan the launch of its new shoes for men and children.

(6)

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## 22. Question 3 · part e · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

In order to start selling shoes to men and children *Backyard Shoez* will need additional finance.

The owners are considering the following two options:

**Option 1:** crowdfunding

**Option 2:** overdraft.

(e) Justify which **one** of these options *Backyard Shoez* should use.

**(9)**

**(Total for Question 3 = 20 marks)**

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## 22. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 23. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

**3** *HRMW* employs staff to design the products it manufactures. The aim is to add features so that the products are better than any others on the market.

(a) Define the term **e-tailers**.

**(1)**

(b) Outline **one** reason why *HRMW* uses robotics in the production of its goods.

**(2)**

If *HRMW* produce tennis racquets with the following costs:

Fixed costs = 300 000 Rupees

Variable costs = 3 000 Rupees

Sale price = 5 000 Rupees

(c) Calculate the number of tennis racquets that would have to be made to break-even. You are advised to show your working.

**(2)**

..... Tennis racquets

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## 23. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

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(d) Analyse the limitations for *HRMW* of using break-even charts when planning the manufacture of tennis racquets.

**(6)**

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## 23. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

Research and development (R&D) of tennis racquets before they are produced is essential and can be expensive. To cover these costs *HRMW* is considering the following two options:

**Option 1:** retained profit

**Option 2:** selling assets.

(e) Justify which **one** of these two options *HRMW* should use.

**(9)**

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## 23. Question 3 · part e · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

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**(Total for Question 3 = 20 marks)**

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## 23. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 24. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

**3** (a) Define the term **price skimming**.

**(1)**

(b) Outline **one** reason why cash might be important to *Artify Studio*.

**(2)**

**Figure 1** is an extract from the *Artify Studio* statement of profit and loss.

| | S$ |
|---|---|
| Revenue | 90 500 |
| Cost of goods sold | 53 500 |
| Direct labour | 8 500 |
| Total cost of sales | 62 000 |
| Gross profit | 28 500 |

**Figure 1**

(c) Calculate, to two decimal places, the gross profit margin for *Artify Studio*. You are advised to show your working.

**(2)**

..... %

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## 24. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

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(d) Analyse how *Artify Studio* could use the information in **Figure 1** to assess the performance of the business.

**(6)**

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## 24. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

*Artify Studio* is looking to increase the amount of paint materials it sells. It wants to sell painting sets for children and will need additional finance for the start-up costs of buying these painting sets.

It is considering the following two options:

**Option 1:** crowdfunding

**Option 2:** retained profit.

(e) Justify which **one** of these two options *Artify Studio* should choose.

**(9)**

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## 24. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.



## 24. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 25. Question 2 · part f · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

**2** (a) State **one** way *TBTS* can measure its success as a business.

**(1)**

(b) State **one** reason why *TBTS* might segment its market.

**(1)**

(c) Explain **one** benefit to a business of having a flat organisational structure.

**(3)**

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## 25. Question 2 · part f · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** method a small business might use to increase its profit.

**(3)**

(e) Explain **one** benefit to a business of using the Boston Matrix.

**(3)**

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## 25. Question 2 · part f · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

*TBTS* wants to sell a wider variety of toys. It is planning to buy these toys from other suppliers. This will need new finance.

*TBTS* is considering two options:

**Option 1:** using retained profits

**Option 2:** getting a bank loan.

(f) Justify which **one** of these two options *TBTS* should choose.

**(9)**

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## 25. Question 2 · part f · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

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**(Total for Question 2 = 20 marks)**

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## 25. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 26. Question 2 · part f · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

**2** (a) State **one** non-financial method *AWG* may use to motivate its employees.

**(1)**

(b) State **one** task of an *AWG* employee working in the human resources department.

**(1)**

(c) Explain **one** benefit of globalisation to a small business.

**(3)**

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## 26. Question 2 · part f · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** method of below-the-line promotion a business may use to retain its customers.

**(3)**

(e) Explain **one** benefit to a business of using market segmentation to target its customers.

**(3)**

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# 26. Question 2 · part f · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

If *AWG* expands its business in Iceland it may need to seek additional finance. It is considering two options:

**Option 1:** use venture capital to open new stores

**Option 2:** start offering franchises.

(f) Justify which **one** of these two options *AWG* should choose.

**(9)**

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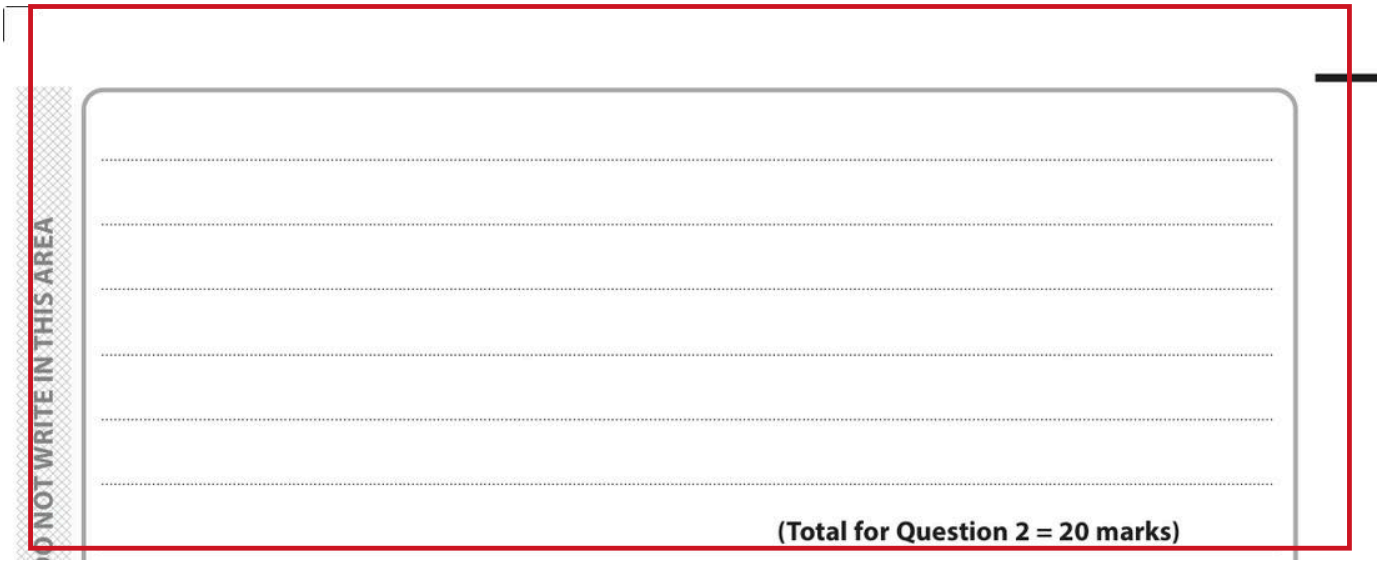
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## 26. Question 2 · part f · 9 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.




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## 26. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 27. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

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**3** (a) Define the term **diseconomies of scale**.

**(1)**

(b) Outline **one** method of primary market research that *PPS* could use to gain feedback on its services.

**(2)**

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## 27. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

**Figure 3** is an extract of financial information from a *PPS* monthly cash flow forecast.

| | € |
|---|---|
| Opening balance | 16 000 |
| Cash inflow | 22 000 |
| Cash outflow | 20 000 |

**Figure 3**

(c) Calculate the closing balance. You are advised to show your working.

**(2)**

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## 27. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

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*PPS* wants information on its customers' spending patterns.

(d) Analyse the importance of reliable market research to obtain this information.

**(6)**

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## 27. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

*PPS* is looking to build another eight kennels with Closed-circuit television (CCTV) in its pet hotel. To do this it will need €7 500.

*PPS* is considering two options:

**Option 1:** using Rachel's personal savings

**Option 2:** taking out a small bank loan.

(e) Justify which **one** of these two options *PPS* should choose.

**(9)**

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## 27. Question 3 · part e · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

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**(Total for Question 3 = 20 marks)**

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## 27. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 28. Question 2 · part f · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

**2** (a) State **one** reason why branding is important to *Saha*.

(1)

(b) State **one** task that an employee working in the production department at *Saha* might do.

(1)

(c) Explain **one** disadvantage for a business of using flow production to produce its goods.

(3)

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## 28. Question 2 · part f · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** method of above the line promotion a business may use to increase its sales revenue.

**(3)**

(e) Explain **one** reason why the proximity to materials is important to a business when locating to a new factory.

**(3)**

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## 28. Question 2 · part f · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

When *Saha* expands its business it will require additional finance. It is considering two options:

**Option 1:** crowdfunding

**Option 2:** loan capital.

(f) Justify which **one** of these two options *Saha* should choose.

**(9)**

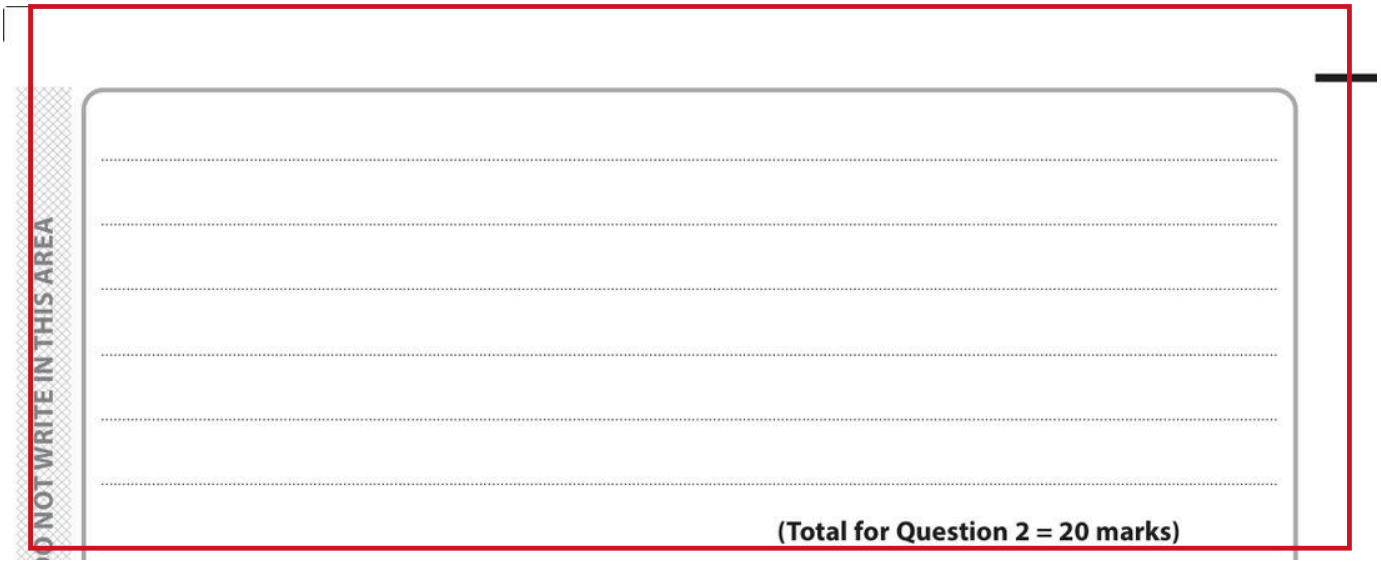
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## 28. Question 2 · part f · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.




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## 28. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 29. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

**3** (a) Define the term **share capital.**

**(1)**

.....

.....

.....

(b) Outline how *CCT* could use quantitative research data to improve its service.

**(2)**

.....

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.....

.....

.....

.....

**Figure 2** is an extract from the statement of comprehensive income from a *CCT* competitor.

| | CYN |
|---|---|
| Revenue | 85 000 |
| Cost of sales | 13 500 |
| Gross profit | 71 500 |

**Figure 2**

(c) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

**(2)**

.....%

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## 29. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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*CCT* wants to extend its services by offering family tour holidays and team-building days for businesses. It plans to recruit an external Marketing Manager to promote these new services.

(d) Analyse the possible effects on *CCT* of recruiting externally.

**(6)**

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## 29. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Feedback from some customers suggested they became tired during the bicycle tours. To overcome this problem *CCT* is planning to purchase electric bicycles.

To fund the cost of purchasing the electric bicycles, *CCT* is considering two options:

**Option 1:** selling assets

**Option 2:** retained profit.

(e) Justify which **one** of these two options *CCT* should choose.

**(9)**

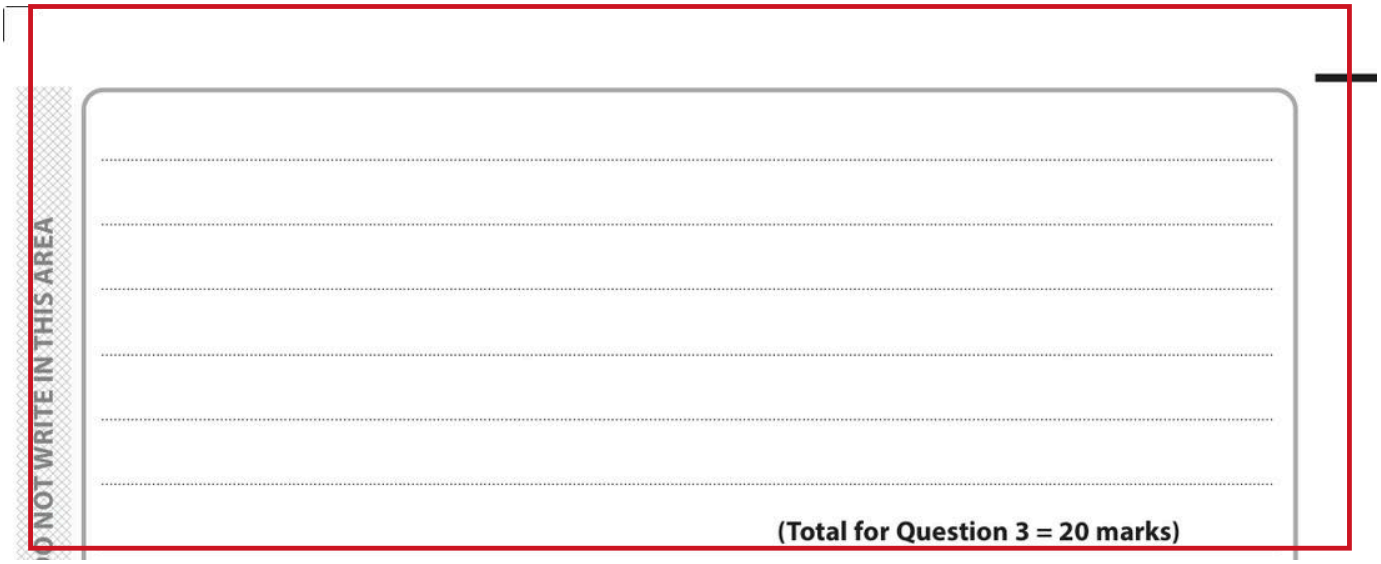
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## 29. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.




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## 29. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 30. Question 2 · part f · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

**2** (a) State **one** fixed cost *Ocean Vibes* is likely to pay.

**(1)**

(b) State **one** method of primary research *Ocean Vibes* may use.

**(1)**

(c) Explain **one** advantage to a business of having high market share.

**(3)**

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## 30. Question 2 · part f · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** advantage to a business of using e-commerce to sell its products.

(3)

(e) Explain **one** reason why shareholders would be interested in the financial documents of a business.

(3)

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## 30. Question 2 · part f · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

The owners of *Ocean Vibes* plan to grow the business. They are considering two options to finance the growth:

**Option 1:** venture capital

**Option 2:** loan capital.

(f) Justify which **one** of these two options the owners of *Ocean Vibes* should choose.

**(9)**

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## 30. Question 2 · part f · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

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**(Total for Question 2 = 20 marks)**

## 30. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 31. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

**4** *Can Culleretes* offers a fixed price dinner menu at €38.40 per person. Groups of five or more are given a discount of 12.5% on their total bill.

(a) Calculate the total cost of a group of 12 people ordering from the fixed price dinner menu. You are advised to show your working.

**(2)**

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## 31. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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The city of Barcelona has seen a number of new restaurants offering various menus such as Italian and Turkish.

(b) Analyse the importance of *Can Culleretes* responding to changes in its market.

**(6)**

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## 31. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

*Can Culleretes* is opening Can Café near its restaurant. Can Café will be a smaller premise providing a variety of drinks and smaller plates of food for people in a hurry.

(c) Evaluate the impact of using venture capital as a source of finance to fund the opening of Can Café. You should use the information provided as well as your own knowledge of business.

**(12)**

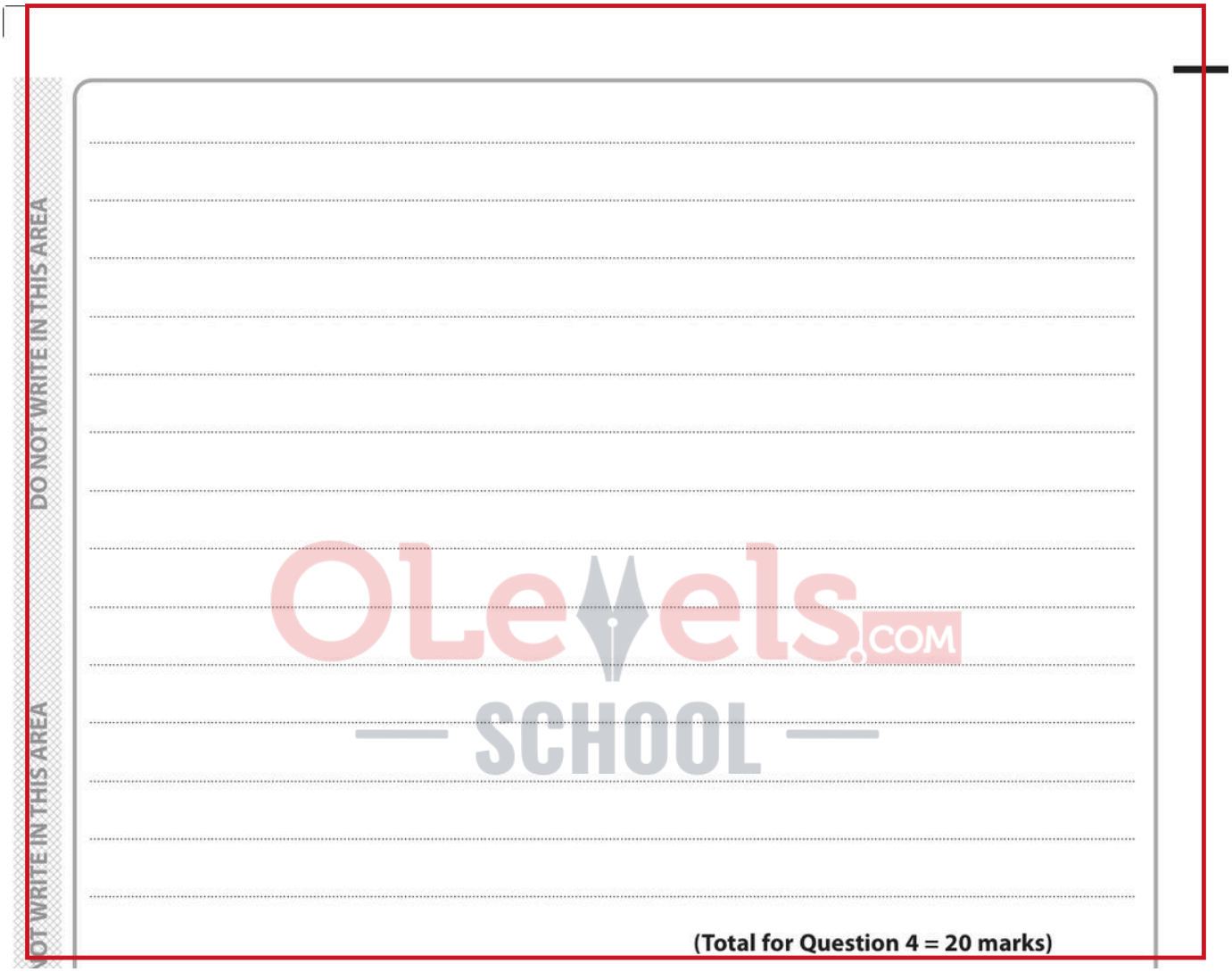
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## 31. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.




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## 31. Question 4 · part c · 12 marks · Working and answer

Working and answer

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## 32. Question 1 · part a.i · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a.i only.

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**1** *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

(Source adapted from: https://www.lavender.com.my/about-us-c1kfx)

(a) (i) Which **one** of the following would be a source of finance that could be used for a cash flow problem?

(1)

Select **one** answer.

- ☒ **A** Venture capital
- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

(ii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Star
- ☒ **B** Place
- ☒ **C** Maturity
- ☒ **D** Branding

(iii) Which **one** of the following is an example of a fixed cost for *Lavender*?

(1)

Select **one** answer.

- ☒ **A** Flour used in the cakes
- ☒ **B** Packaging used for *Lavender*'s cakes
- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

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## 32. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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## 33. Question 1 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

**1** *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

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**(1)**

Select **one** answer.

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- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

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**(1)**

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- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

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## 33. Question 1 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(iv) When a business employs a new member of staff, part of their induction training would include:

(1)

Select **one** answer.

- ☒ **A** Health and safety
- ☒ **B** Total Quality Management
- ☒ **C** Off-the-job training
- ☒ **D** Government schemes

*Lavender* buys 150 kilograms (kgs) of yeast from Germany at a cost of €2 250.

The exchange rate is €1 = 5 Malaysian Ringgits (MYR).

(v) How much does *Lavender* pay in MYR for the yeast?

(1)

Select **one** answer.

- ☒ **A** 750
- ☒ **B** 2 250
- ☒ **C** 11 250
- ☒ **D** 337 500

*Lavender* calculates the cost of the cakes it makes. The weekly fixed cost is 759 MYR. The variable cost per cake is 4.70 MYR.

(vi) Calculate the total cost of selling 1,650 cakes in a week.

(1)

Select **one** answer.

- ☒ **A** 2 413.70
- ☒ **B** 3 567.30
- ☒ **C** 7 755.00
- ☒ **D** 8 514.00

(b) Define the term **short-term finance**.

(1)

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## 33. Question 1 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) Define the term **above the line promotion**.

(1)

(d) State **one** reason *Lavender* would recruit internally.

(1)

*Lavender* are offering a discount of 15% if customers buy 25 cakes. Each cake costs 12 MYR.

(e) Calculate the cost of buying 25 cakes. You are advised to show your working.

(2)

..... MYR

(f) Explain **one** advantage of being a franchisee.

(3)

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## 33. Question 1 · part b · 1 mark · Working and answer

Working and answer

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## 34. Question 1 · part a.v · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a.v only.

**1** (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

*Yellow*'s store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

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## 34. Question 1 · part a.v · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a.v only.

Six months later, *Yellow* placed a repeat order for the same number of T-shirts at the same price. The exchange rate now is 1 Rupee = 0.042 AED.

(iv) What would be an effect on *Yellow* of the change in the exchange rate?

(1)

- ☒ **A** Lower profit
- ☒ **B** Higher variable costs
- ☒ **C** Cash flow deteriorates
- ☒ **D** Could charge lower prices

(v) Which **one** of the following is a long-term source of finance?

(1)

- ☒ **A** Sales revenue
- ☒ **B** Reinvested profit
- ☒ **C** Trade credit
- ☒ **D** Bank overdraft

**Figure 1** shows financial information in Rupees for 2015 to 2016.

| Year ending | 2016 | 2015 |
|---|---|---|
| Revenue | 13 399 000 | 12 880 000 |

**Figure 1**

(vi) What is the percentage increase in revenue from 2015 to 2016?

(1)

- ☒ **A** 4.03%
- ☒ **B** 5.19%
- ☒ **C** 6.44%
- ☒ **D** 8.69%

(b) Define the term **crowdfunding**.

(1)

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## 34. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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## 35. Question 1 · part a.vi · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a.vi only.

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**1** (a) (i) Which **one** of the following is an advantage of primary market research?

**(1)**

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

**(1)**

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

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# 35. Question 1 · part a.vi · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a.vi only.

**Figure 1** shows selected financial information for a pottery business.

| | |
|---|---|
| Number of ceramic bowls sold per day | 200 |
| Price per bowl | £12.00 |
| Variable cost per bowl | £3.00 |
| Fixed costs per day | £600 |

**Figure 1**

(iii) Which **one** of the following is the total revenue for a day?

(1)

Select **one** answer.

- ☒ **A** £600
- ☒ **B** £1 800
- ☒ **C** £2 400
- ☒ **D** £7 200

(iv) Which **one** of the following would be a disadvantage for a partner in a partnership?

(1)

Select **one** answer.

- ☒ **A** Sharing the workload
- ☒ **B** Liability for all debts
- ☒ **C** Access to more capital
- ☒ **D** Sharing skills

*Huawei*'s brand value for 2018 was $7.6 billion. *Huawei* plans to increase its brand value by 14% in 2019.

(v) What would be the brand value in 2019?

(1)

Select **one** answer.

- ☒ **A** $6.20 billion
- ☒ **B** $7.74 billion
- ☒ **C** $8.66 billion
- ☒ **D** $10.64 billion

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## 35. Question 1 · part a.vi · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a.vi only.

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(vi) Which **one** of the following is a source of long-term finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Sales revenue
- ☒ **C** Trade credit
- ☒ **D** Bank loan

(b) Define the term **sole trader**.

(1)

(c) Define the term **demographics**.

(1)

(d) State **one** reason why *Huawei* may use share capital as a source of finance.

(1)

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## 35. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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## 36. Question 1 · part a.v · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.v only.

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**1** Most people recognise Heinz for the phrase '57 varieties' even though it now produces many more than the original 57 varieties. H J Heinz, the founder of the Heinz business, believed the phrase sounded lucky.

*Kraft Heinz* is a world-wide producer of food products. It was formed from the merger of Kraft Foods and Heinz in 2015. This created the third largest food and drinks business in the USA and the fifth largest food and drinks business in the world.

*Kraft Heinz* has over 24 different brands, including Greenseas in Australia and Nutri+Plus in New Zealand. America has the largest number of brands from Maxwell House to Cool Whip. *Kraft Heinz* produces many different products including tomato sauce, 'Mac&Cheese', pasta and its famous baked beans that are used and eaten by many people.

*Kraft Heinz* uses many methods to advertise its products. These include posters, billboards and leaflets in supermarkets.

(a) (i) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Published government statistics
- ☒ **B** Magazine article
- ☒ **C** Internet research
- ☒ **D** Focus groups

(ii) Which **one** of the following is an example of external communication?

Select **one** answer.

(1)

- ☒ **A** A presentation by the chairperson to its employees
- ☒ **B** Sending a customer details of a special offer
- ☒ **C** A departmental meeting
- ☒ **D** Training sessions for new employees

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# 36. Question 1 · part a.v · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.v only.

On 13 September 2022 the share price of *Kraft Heinz* in America at 10.00 am was $36.55 and at 4.00 pm it was $35.06.

(iii) Which **one** of the following is the percentage decrease in the share price?

Select **one** answer.

(1)

- ☒ **A** 1.49%
- ☒ **B** 1.96%
- ☒ **C** 4.08%
- ☒ **D** 4.25%

*Kraft Heinz* uses price promotions to encourage customers to purchase more of its products. The price of a tin of baked beans in the US is $0.54. If 12 tins are purchased the price is reduced by 12.5%.

(iv) Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount?

Select **one** answer.

(1)

- ☒ **A** $5.67
- ☒ **B** $6.48
- ☒ **C** $56.25
- ☒ **D** $81.00

(v) Which **one** of the following would be a long-term source of finance for a sole trader?

Select **one** answer.

(1)

- ☒ **A** Trade credit
- ☒ **B** Overdraft
- ☒ **C** Personal savings
- ☒ **D** Share capital

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## 36. Question 1 · part a.v · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.v only.

(vi) Which **one** of the following is the break-even point?

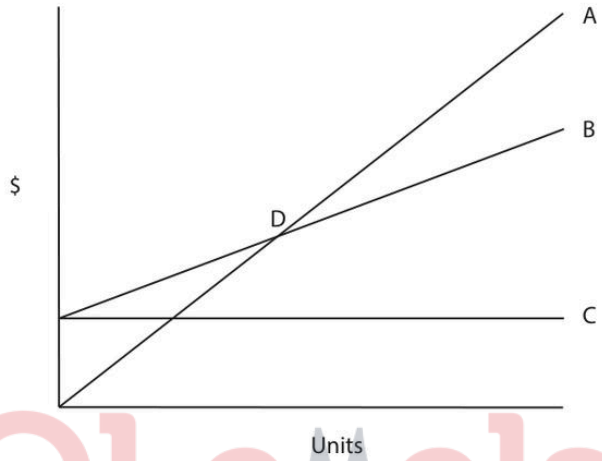



**Figure 1**

Select **one** answer. (1)

- ☒ **A**
- ☒ **B**
- ☒ **C**
- ☒ **D**

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## 36. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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## 37. Question 1 · part a.vi · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.vi only.

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**1** In 1971 *Starbucks* opened its first coffee shop in Seattle, Washington, US. Since then, it has experienced significant growth with more than 32,000 stores operating across 80 countries. It sells coffee and food products including cakes, biscuits and sandwiches. *Starbucks* has a mission 'To inspire and nurture the human spirit – one person, one cup and one neighbourhood at a time.'

*Starbucks* refers to its employees as 'partners' as they encourage people to support each other and work to achieve common goals. It offers the opportunity for partners to develop their skills and knowledge of the coffee shop market, by starting as baristas, then as coffee masters and finally as coffee shop managers.

(a) (i) Which **one** of the following is a secondary sector activity?

Select **one** answer.

(1)

- ☒ **A** Coal mining
- ☒ **B** Engineering
- ☒ **C** Farming
- ☒ **D** Insurance

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Selling assets
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Bank loan

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## 37. Question 1 · part a.vi · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.vi only.

*Starbucks* has special offers to encourage customers to purchase more coffee.

A latte usually costs $5.90 (US Dollars) and is now on special offer at $5.35.

(iii) Which **one** of the following is the percentage decrease in the price of a latte?

Select **one** answer.

(1)

- ☒ **A** 0.55%
- ☒ **B** 2.94%
- ☒ **C** 9.32%
- ☒ **D** 10.28%

(iv) Which **one** of the following is the minimum number of owners in a partnership?

Select **one** answer.

(1)

- ☒ **A** 1
- ☒ **B** 2
- ☒ **C** 20
- ☒ **D** 50

An online book club charges its members £4.49 (GBP) a month.

The exchange rate is £1.00 to 92.09 Indian Rupees (INR).

(v) Which **one** of the following would be the monthly price in Rupees to be a member in India?

Select **one** answer.

(1)

- ☒ **A** 413.48
- ☒ **B** 1105.08
- ☒ **C** 4 134.84
- ☒ **D** 4 961.81

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## 37. Question 1 · part a.vi · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.vi only.

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(vi) Which **one** of the following is an external source of finance for managing immediate cash flow problems?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Overdraft

(b) Define the term **social enterprise**.

(1)

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(c) Define the term **tertiary sector**.

(1)

(d) State **one** reason why *Starbucks* wants to retain its employees.

(1)

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## 37. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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## 38. Question 2 · part a · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a only.

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**2** (a) State **one** reason why *Samsung* may need long-term finance.

**(1)**

(b) State **one** reason why quality control is a benefit to *Samsung*.

**(1)**

(c) Explain **one** advantage to a business of having a social objective.

**(3)**

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## 38. Question 2 · part a · 1 mark · Working and answer

Working and answer

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## 39. Question 1 · part a.iii · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a.iii only.

**1** *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

(1)

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

(1)

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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# 39. Question 1 · part a.iii · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a.iii only.

(iv) Which functional area would be responsible for quality control?

(1)

Select **one** answer.

- ☒ **A** Marketing
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Administration

In February 2018 *Backyard Shoez* imported 50 handbags from Italy. Each handbag cost them €20.

The exchange rate In February 2018 was €1 = 124.48 Kenyan Shillings (Ks).

(v) How much did *Backyard Shoez* have to pay in Kenyan Shillings for each handbag imported in February 2018?

(1)

Select **one** answer.

- ☒ **A** 2 489.60
- ☒ **B** 6 224.00
- ☒ **C** 24 896.00
- ☒ **D** 124 480.00

In September 2018 the exchange rate was €1 = 117.79 Ks.

(vi) What effect would this exchange rate have on *Backyard Shoez* if the cost of an imported handbag remained at €20?

(1)

Select **one** answer

- ☒ **A** Import costs would be unchanged
- ☒ **B** Net cash flow would improve
- ☒ **C** The price of the handbags in euros would rise
- ☒ **D** The cost of importing a handbag would fall

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## 39. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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# 40. Question 1 · part a.i · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a.i only.

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**1** *Tata Motor Company* began trading in 1868, and is now part of a large group of companies that is estimated to be worth $100 billion. *Tata Motor Company* manufactures a wide range of cars, buses and trucks. It is India's largest maker of vehicles with manufacturing centres in many countries including Korea, Italy and the UK.

One of the main aims of *Tata Motor Company* is to produce goods that the public want and need. It is currently working on electric cars that are more environmentally friendly. *Tata Motor Company* plays an active role in community development such as building schools, houses and investing in the health and welfare of local people.

(Source adapted from: https://www.tatamotors.com/about-us/)

(a) (i) Which **one** of the following is an external source of finance?

(1)

- ☒ **A** Retained profit
- ☒ **B** Selling assets
- ☒ **C** Sales revenue
- ☒ **D** Share capital

(ii) Which **one** of the following forms of discrimination is covered by legislation?

(1)

- ☒ **A** Ability
- ☒ **B** Age
- ☒ **C** Ethical
- ☒ **D** Political

(iii) Which **one** of the following could be used to gather data for a business?

(1)

- ☒ **A** Market research
- ☒ **B** Market orientation
- ☒ **C** Market segmentation
- ☒ **D** Market place

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## 40. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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# 41. Question 1 · part a.i · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a.i only.

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**1** *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

*NOF* supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

*NOF* is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

**(1)**

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

**(1)**

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

**(1)**

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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P 6 6 4 7 2 A 0 3 2 0

## 41. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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## 42. Question 1 · part a.ii · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.ii only.

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**1** *Artify Studio* was set up in 2015 by Tay Hui Jae in the busy Kampong Glam area of Singapore. *Artify Studio*'s aim is to have 'a communal art space where people can come together and paint, where people would be given as much creative freedom as they would have if they were in their own spaces.'

*Artify Studio* provides many services including its popular Liberty Art Jam where customers can paint as well as listen to music. The studio offers a Corporate Art Jam and Regular Kids Classes. Customers can purchase art materials after attending the studio.

*Artify Studio* is a profit-making organisation with a social element. It employs seven part-time people, all of whom are art enthusiasts.

(a) (i) Which **one** of the following functional areas is responsible for the recruitment of new employees?

**(1)**

Select **one** answer.

- ☒ **A** Finance
- ☒ **B** Marketing
- ☒ **C** Production
- ☒ **D** Human Resources

(ii) Which **one** of the following is an internal source of finance?

**(1)**

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Selling assets
- ☒ **C** Venture capital
- ☒ **D** Crowdfunding

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# 42. Question 1 · part a.ii · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.ii only.

(iii) Which **one** of the following is a main feature of the statement of comprehensive income?

**(1)**

Select **one** answer.

- ☒ **A** Current assets
- ☒ **B** Non-current liabilities
- ☒ **C** Cost of sales
- ☒ **D** Capital employed

(iv) Which **one** of the following is a political factor that can affect a business?

**(1)**

Select **one** answer

- ☒ **A** Taxation
- ☒ **B** Global warming
- ☒ **C** Habitat destruction
- ☒ **D** Part-time workers

Running the Liberty Art Jam costs *Artify Studio* S$10 Singapore Dollars (SGD). People attending the course are charged S$35.

(v) What markup has *Artify Studio* applied to this service?

**(1)**

Select **one** answer

- ☒ **A** 35%
- ☒ **B** 45%
- ☒ **C** 250%
- ☒ **D** 350%

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## 42. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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## 43. Question 1 · part a.ii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

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**1** *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

*M&M* started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

*M&M* is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

**Figure 1** Maslow's Hierarchy of Needs

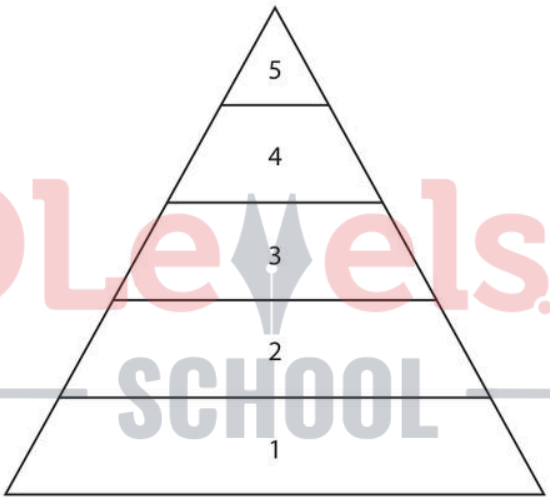



**Figure 1**

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

## 43. Question 1 · part a.ii · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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## 43. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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## 44. Question 1 · part a.v · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.v only.

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**1** *As We Grow* (*AWG*) is a clothing business in Iceland. The social objective of the business is to use natural materials, such as wool, and produce environmentally friendly products. It aims to design clothes that will last a long time, to encourage families to buy fewer clothes and reduce waste in society.

*AWG*'s increasing product range now includes jumpers, dresses, shirts and baby clothes. These are produced in small workshops that employ family and friends. Waste is kept to a minimum and any leftover material is used to make scarves and hats. The business has one store in Iceland. It uses its website to advertise and sell its clothing online to customers in other countries. The business has received the Icelandic Design Award for its contribution to the environment.

(a) (i) Which **one** of the following is shown on the statement of financial position?

Select **one** answer.

(1)

- ☒ **A** Sales
- ☒ **B** Cost of sales
- ☒ **C** Current assets
- ☒ **D** Gross profit

(ii) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☒ **A** Price
- ☒ **B** Partnership
- ☒ **C** Production
- ☒ **D** Profit

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## 44. Question 1 · part a.v · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.v only.

A business has fixed costs of £6 000 a month. Variable costs are £5 per unit and 8,000 units are made each month.

(iii) Which **one** of the following is the total monthly cost?

Select **one** answer.

(1)

- ☒ **A** £ 6 005
- ☒ **B** £14 000
- ☒ **C** £30 000
- ☒ **D** £46 000

(iv) Which **one** of the following job roles is most likely to be associated with capital-intensive production?

Select **one** answer.

(1)

- ☒ **A** Hairdresser
- ☒ **B** Car assembly worker
- ☒ **C** Soft fruit picker
- ☒ **D** Chef

(v) Which **one** of the following is an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Venture capital
- ☒ **C** Retained profit
- ☒ **D** Crowdfunding

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## 44. Question 1 · part a.v · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.v only.

The currency of Iceland is the krona (ISK).

*AWG*'s weekly fixed costs are 440 000 ISK and the variable cost per jumper is 2 500 ISK. Each jumper is sold for 8 000 ISK.

(vi) Which **one** of the following is the weekly break-even point?

Select **one** answer.

(1)

- ☒ **A** 8
- ☒ **B** 55
- ☒ **C** 80
- ☒ **D** 176

(b) Define the term **profit**.

(1)

(c) Define the term **span of control**.

(1)

(d) State **one** likely variable cost for *AWG*.

(1)

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## 44. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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# 45. Question 1 · part a.i · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a.i only.

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**1** *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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## 45. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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# 46. Question 1 · part a.vi · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a.vi only.

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**1** The first *Premier Inn* hotel was opened in 1987. *Premier Inn* now has over 820 hotels in the UK, United Arab Emirates (UAE) and India with over 83,000 rooms. It has recently expanded by opening the first *Premier Inn* in Germany and has plans to open more in other countries.

The majority of the hotels have restaurants with facilities for guests to buy meals and drinks.

(a) (i) Which **one** of the following is the break-even point on a break-even chart?

Select **one** answer.

(1)

- ☒ **A** When fixed costs and variable costs are the same
- ☒ **B** When total costs and fixed costs are the same
- ☒ **C** When fixed costs and total revenue are the same
- ☒ **D** When total costs and total revenue are the same

(ii) Which **one** of the following is a benefit to a franchisee?

Select **one** answer.

(1)

- ☒ **A** The franchisee can buy supplies from any supplier
- ☒ **B** The franchisee is given support from the franchisor
- ☒ **C** The franchisee is guaranteed a set wage
- ☒ **D** The franchisee has total control

(iii) Which **one** of the following is an advantage of job production when compared to other methods of production?

Select **one** answer.

(1)

- ☒ **A** Workers will be better motivated
- ☒ **B** Production speeds will be faster
- ☒ **C** Unit costs will be the same
- ☒ **D** Less training will be needed

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# 46. Question 1 · part a.vi · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a.vi only.

The cost of getting a room ready for customers at the UAE *Premier Inn* is 325 Arab Emirates Dirham (AED).

*Premier Inn* then adds 25% for other expenses including salaries.

(iv) Which **one** of the following would be the total amount paid in AED by a customer for a room?

Select **one** answer.

(1)

- ☒ **A** 81.25
- ☒ **B** 243.75
- ☒ **C** 350.00
- ☒ **D** 406.25

**Figure 1** – Extract from *Premier Inn* financial report in 2021–2022.

| | 2021 £ millions | 2022 £ millions |
|---|---|---|
| Revenue | 249.60 | 772.80 |

**Figure 1**

(v) Which **one** of the following is the percentage increase in revenue from 2021 to 2022.

Select **one** answer.

(1)

- ☒ **A** 5.23%
- ☒ **B** 67.70%
- ☒ **C** 209.62%
- ☒ **D** 523.20%

(vi) Which **one** of the following is an internal source of finance for a business?

Select **one** answer.

(1)

- ☒ **A** Crowdfunding
- ☒ **B** Loan capital
- ☒ **C** Personal savings
- ☒ **D** Venture capital

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## 46. Question 1 · part a.vi · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a.vi only.

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(b) Define the term **job description**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees.

(1)

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## 46. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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## 47. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.ii only.

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**1** In 1971 *Starbucks* opened its first coffee shop in Seattle, Washington, US. Since then, it has experienced significant growth with more than 32,000 stores operating across 80 countries. It sells coffee and food products including cakes, biscuits and sandwiches. *Starbucks* has a mission 'To inspire and nurture the human spirit – one person, one cup and one neighbourhood at a time.'

*Starbucks* refers to its employees as 'partners' as they encourage people to support each other and work to achieve common goals. It offers the opportunity for partners to develop their skills and knowledge of the coffee shop market, by starting as baristas, then as coffee masters and finally as coffee shop managers.

(a) (i) Which **one** of the following is a secondary sector activity?

Select **one** answer.

(1)

- ☒ **A** Coal mining
- ☒ **B** Engineering
- ☒ **C** Farming
- ☒ **D** Insurance

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Selling assets
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Bank loan

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# 47. Question 1 · part a.ii · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a.ii only.

*Starbucks* has special offers to encourage customers to purchase more coffee.

A latte usually costs $5.90 (US Dollars) and is now on special offer at $5.35.

(iii) Which **one** of the following is the percentage decrease in the price of a latte?

Select **one** answer.

(1)

- ☒ **A** 0.55%
- ☒ **B** 2.94%
- ☒ **C** 9.32%
- ☒ **D** 10.28%

(iv) Which **one** of the following is the minimum number of owners in a partnership?

Select **one** answer.

(1)

- ☒ **A** 1
- ☒ **B** 2
- ☒ **C** 20
- ☒ **D** 50

An online book club charges its members £4.49 (GBP) a month.

The exchange rate is £1.00 to 92.09 Indian Rupees (INR).

(v) Which **one** of the following would be the monthly price in Rupees to be a member in India?

Select **one** answer.

(1)

- ☒ **A** 413.48
- ☒ **B** 1105.08
- ☒ **C** 4 134.84
- ☒ **D** 4 961.81

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

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## 47. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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